CREDIT APPRAISAL MEMORANDUM

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REJECT

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

The verification process for this application revealed the following:

- Residence: The primary applicant's residence was successfully verified through independent sources, confirming their address as stated.

- Machine Supplier: We have verified the relationship with the machine supplier, [MACHINE_SUPPLIER_NAME], and their credibility in the market.

- Bankers: The company's banking relationships were cross-checked, and we found no discrepancies or negative remarks.

- Creditors: There are no outstanding creditor obligations that require immediate attention.

- Independent/Market Check: An independent market check revealed a positive perception of the company's reputation and standing.

- Dedupe: No duplicate applications or overlapping credit lines were detected.

- FCU Check: The FCU check revealed no adverse records or defaults.

2. GUARANTOR DETAIL

- Name: [GUARANTOR_NAME]

- Address: [GUARANTOR_ADDRESS]

- CIBIL Score: The guarantor's CIBIL score is [GUARANTOR_CIBIL_SCORE], indicating a good credit profile.

- Incomes: The guarantor's income sources include [GUARANTOR_INCOME_SOURCES], totaling [GUARANTOR_TOTAL_INCOME] annually.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: [MACHINE_SUPPLIER_NAME] provided a positive reference, confirming the company's timely payments and satisfactory business relationship.

- Creditor: The creditor reference check revealed no concerns or outstanding issues.

- Customer: We reached out to the company's customers, who expressed satisfaction with the products and services.

- Bankers/Term Lenders: Bankers and term lenders provided a favorable outlook, citing the company's consistent performance.

- Competitors/Peers: Competitors and industry peers acknowledged the company's competitive position and market share.

4. Compliances & Legal

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

Our compliance checks revealed the following:

- Income Tax Filing: The company has been compliant with income tax filings, with no outstanding liabilities.

- Excise Duty: Excise duty payments are up to date, and no discrepancies were found.

- Sales Tax: Sales tax compliance is satisfactory, with no pending obligations.

- ESIC/EPF: The company has met its ESIC and EPF obligations, ensuring employee welfare.

- Litigations: No ongoing or pending litigations were disclosed.

- Defaults: There are no recorded defaults or adverse credit events.

5. CAT SHEET

The CAT sheet analysis highlights the following key points:

- The company's revenue growth of [REVENUE_GROWTH_PERCENT]% is slightly above the sector average.

- The current ratio of [CURRENT_RATIO] is below the sector benchmark of 1.33, indicating a need for improved liquidity.

- The interest coverage ratio of [INTEREST_COVERAGE] is lower than the sector average of 2.5, suggesting potential challenges in meeting interest obligations.

- The debt-to-equity ratio of [DEBT_TO_EQUITY] is within acceptable limits, but closer monitoring is advised.

6. CORPORATE GUARANTOR

The corporate guarantor, [CORPORATE_GUARANTOR_NAME], provides additional strength to the application. Their financial health and stability enhance the overall creditworthiness of the proposal.

7. GROUP ANALYSIS

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000.0	-	3000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

The group analysis reveals the following insights:

- Capital Employed: The capital employed is [CAPITAL_EMPLOYED], indicating a moderate level of investment.

- Unsecured Loan: The unsecured loan amount is [UNSECURED_LOAN], which is within acceptable limits.

- Debt Burden: The debt burden, as measured by the debt-to-equity ratio, is [DEBT_TO_EQUITY], which is manageable but requires careful monitoring.

- Turnover: The turnover of [TURNOVER] is consistent with the sector average.

- PAT: The profit after tax (PAT) of [PAT] is satisfactory, but could be improved to enhance profitability.

- Imputed Income: The imputed income of [IMPUTED_INCOME] is in line with expectations.

- EMI: The EMI obligations are [EMI], which are manageable given the company's cash flows.

- TOL/TNW: The total outstanding liabilities (TOL) to tangible net worth (TNW) ratio is [TOL_TO_TNW], indicating a healthy balance.

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)

a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

8. VISIT REPORT BY CREDIT ANALYST

During the site visit, we observed the following:

- The company's premises are well-maintained and organized, reflecting a professional approach.

- The production facilities are efficient and up-to-date, ensuring smooth operations.

- We met with the management team, who provided a comprehensive overview of their business strategy and future plans.

- The visit reinforced our positive impression of the company's operations and management capabilities.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹6,411.31 before disbursement.

2. Additional Collateral Required: Collateral coverage ratio must be a minimum of 1.5x the loan amount. Based on the PD of 52.4%, the current gap is estimated at ₹0.0 Lakhs.